CHAPTER 12

CONSUMER PROTECTION

CHAPTER ESSENCE AT A GLANCE:
Safeguard consumer interests under the Consumer Protection Act 2019: six consumer rights, consumer responsibilities, three-tier quasi-judicial redressal commissions, and relief remedies.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Consumer Sovereignty Protection:** Safeguarding consumers against exploitative unfair trade practices, adulteration, misleading advertising, and defective products under the Consumer Protection Act 2019.

• **Six Statutory Consumer Rights:** Right to Safety, Right to be Informed, Right to Choose, Right to be Heard, Right to Seek Redressal, and Right to Consumer Education.

• **Three-Tier Redressal Commission Hierarchy:** District Consumer Disputes Redressal Commission (claims up to Rs 1 Crore), State Commission (claims Rs 1 Crore to Rs 10 Crores), and National Commission (claims exceeding Rs 10 Crores).

• **Available Legal Relief Remedies:** Removal of defects, replacement of defective goods with new goods, refund of price paid, award of compensation for personal injury, and punitive damages for misleading ads.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{District Commission Pecuniary Jurisdiction} \leq \text{Rs 1 Crore Claim Consideration}$$
District Consumer Commission Statutory Ceiling

$$\text{State Commission Jurisdiction} \iff \text{Claims Exceeding Rs 1 Crore Up to Rs 10 Crores}$$
State Consumer Commission Statutory Range

$$\text{National Commission Jurisdiction} > \text{Claims Exceeding Rs 10 Crores}$$
National Consumer Disputes Redressal Apex Threshold

$$\text{Consumer Rights Hexagon} = \text{Safety} + \text{Informed} + \text{Choose} + \text{Heard} + \text{Redressal} + \text{Education}$$
Consumer Protection Act 2019 Six Statutory Rights

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** A person who obtains goods for resale or commercial purposes is NOT a 'Consumer' under the Consumer Protection Act 2019.

• **Alert:** An appeal against the order of the District Commission lies with the State Commission within 45 days; appeal against State Commission lies with National Commission within 30 days.

• **Alert:** Always insist on a cash memo when purchasing goods; without a valid cash memo, filing a consumer complaint is legally difficult.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Who is a 'Consumer' according to the Consumer Protection Act 2019? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** Any person who buys goods or hires services for a consideration paid or promised, including any user of such goods with the buyer's approval. [1 Mark]

• **Exclusion:** Does not include anyone who obtains goods for resale or for any commercial purpose. [1 Mark]

2. Explain the Right to Safety and Right to be Informed guaranteed to consumers. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Right to Safety:** Right to be protected against marketing of goods and services hazardous to human life and health (e.g. electrical appliances adhering to ISI marks). [1 Mark]

• **Right to be Informed:** Right to have full information regarding quantity, purity, standard, date of manufacture, expiry date, and price before buying. [1 Mark]

3. Explain the Right to Seek Redressal. Mention any two reliefs available to a consumer under this right. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Right to Seek Redressal:** Right to receive fair legal remedy against unfair trade practices, exploitation, or defective products. [1 Mark]

• **Relief 1:** Removal of defects from goods or replacement of defective goods with new defect-free goods. [1 Mark]

• **Relief 2:** Refund of full purchase price paid and award of compensation for injury or loss suffered due to negligence. [1 Mark]

4. State any three responsibilities of a consumer while purchasing goods and services. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Insist on Cash Memo:** Always demand a genuine cash memo or tax invoice as proof of purchase for filing claims. [1 Mark]

• **Buy Standardized Goods:** Look for quality certification marks such as ISI mark on electrical goods, FPO on fruit products, Hallmark on jewelry. [1 Mark]

• **Read Labels Carefully:** Read packaging labels carefully to know manufacturing dates, expiry dates, batch numbers, and warnings. [1 Mark]

5. Raman purchased a luxury car for Rs 1.5 Crores from an authorized dealer. Within a week, the engine developed major defects. The dealer refused to replace it. In which consumer dispute redressal commission should Raman file his complaint under the Consumer Protection Act 2019? Justify. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Appropriate Forum: State Consumer Disputes Redressal Commission**. [1 Mark]

• **Pecuniary Jurisdiction Justification:** Under the Consumer Protection Act 2019, District Commission handles claims up to Rs 1 Crore. [1 Mark]

• **Threshold Satisfaction:** Since Raman's claim consideration is Rs 1.5 Crores (which falls between Rs 1 Crore and Rs 10 Crores), jurisdiction lies strictly with the State Commission. [1 Mark]

6. Explain the role of Consumer Non-Governmental Organisations (NGOs) in protecting consumer interests in India. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Educating the General Public:** Organizing consumer awareness camps, seminars, and publishing periodicals on consumer rights. [1 Mark]

• **Conducting Comparative Testing:** Testing competing consumer brands in independent laboratories and publishing results. [1 Mark]

• **Filing Public Interest Litigation:** Filing lawsuits in consumer courts on behalf of aggrieved consumers or the public interest. [1 Mark]

7. Explain the three-tier quasi-judicial redressal machinery established under the Consumer Protection Act 2019: District Commission, State Commission, and National Commission. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **District Commission:** Established in each district by the State Government; entertains consumer complaints where value of goods and services paid does not exceed Rs 1 Crore. **[1.5 Marks]**

• **State Commission:** Established in each state capital; entertains complaints where consideration value exceeds Rs 1 Crore but does not exceed Rs 10 Crores, and hears appeals against District orders. **[1.25 Marks]**

• **National Commission:** Apex national tribunal in New Delhi; entertains complaints where consideration value exceeds Rs 10 Crores, and hears appeals against State Commission orders. **[1.25 Marks]**